

March 2026 Client Letter

Uncertainty across the U.S. economy is being fueled by a confluence of contradicting factors. The broader economy is facing a balance between headwinds including the impact of tariffs and trade restrictions (including their uncertainty), restrictive immigration policy, tailwinds tied to favorable economic, monetary policy, and rapid productivity increases driven by massive investment being deployed into Artificial Intelligence (AI). As a result, 3Q-2025 Real GDP increased 4.4% and 4Q-2025 GDP increased 1.4%, despite the impact of the 43-day government shutdown. While GDP growth has proven healthy, it has not translated to hotel performance. In 3Q-2025, U.S. RevPAR declined (1.4)% on a (0.7)% decline in demand, and in 4Q-2025, RevPAR declined (1.1)% on a (1.3)% decline in demand.

The disparity in metrics between the broader economy and the hotel industry is being driven by the components of economic growth. GDP growth is being heavily impacted by the top tier of households from an income perspective. The stock market continues to hover around all-time highs, as does the Case Shiller home price index. These dynamics have enhanced the top 20% of U.S. household's balance sheets, which now account for almost two-thirds of total U.S. consumer spending - the highest on record.

Nevertheless, the remaining 80% of U.S. households are struggling, a phenomenon widely referred to as a K-shaped economy. Financial stress is elevated for lower-income households, with delinquencies tied to student loans, first mortgages, auto loans, and credit cards hovering around post-pandemic highs. This financial stress is at least partly tied to lower wage growth which is influenced by a weak job market. Excluding the healthcare sector, over the six months ended January, U.S. employment levels declined by 135,000 jobs. During that period, seven of the thirteen major economic sectors experienced a decrease in employment levels, while the others exhibited anemic growth. Typically, such a decline in jobs would indicate that the U.S. is in an economic recession or heading into one. Nonetheless, as of January, only 27% of the economists surveyed by the Wall Street Journal anticipate the U.S. to enter recession over the next twelve months. However, consumer spending is increasingly being driven by the top 10-20% of U.S. households.

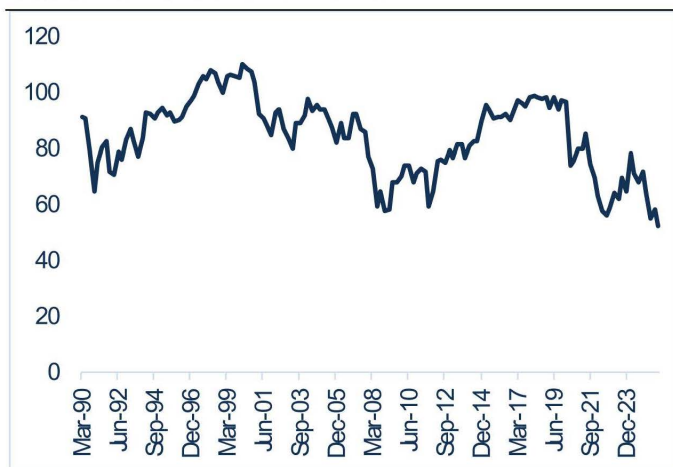
6-Month Cumulative Job Growth by Sector (July 2025-January 2026), Seasonally Adjusted in thousands



Source: Lodging Analytics Research & Consulting, BLS

As a result, Consumer Sentiment troughed in May at the lowest level since the depths of the pandemic. Excluding the pandemic, it was the lowest reading since 1980. While it bounced back shortly thereafter, it began to drift lower again in August, and by December the reading of 52.5 was a new low.

U.S. Consumer Sentiment Index



Source: Moody's Analytics, Lodging Analytics Research & Consulting

Additionally, business spending is skewing toward investment in AI. Excluding projections for AI investment, business investment is expected to be roughly flat in 2026 and 2027. Development of data centers rarely has a sustained impact on hotel demand. Additionally, as AI investment is about increasing productivity and reducing labor costs, it is possible the investment has a negative impact on hotel performance, despite the positive impact on economic growth.

LARC's outlook for hotel performance is driven by a confluence of factors that are both tailwinds and headwinds:

Tailwinds

- Comparisons begin to ease in 2Q-2026, given RevPAR declines in 2Q-2025.
- The World Cup is estimated to drive a 1.8% impact to annual RevPAR growth across the U.S. with the impact skewed toward only a handful of markets with strong matches that also serve as international tourism destinations (New York, Miami, Los Angeles, Dallas and Atlanta).
- SALT tax relief will hit the consumer balance sheet beginning in 2Q-2026, which should provide an added capacity for spending leading up to the summer leisure travel season.
- The high-end leisure traveler will continue to be strong, supported by a robust stock market and increasing wealth levels.
- Group demand will continue to be strong, with convention bookings pacing up 8% year-over-year in 2026 and remaining flat in 2027.
- 2025 was fraught with headwinds and uncertainty tied to the impact of the current Administration's policies. We don't expect those headwinds to get worse, while clarity from the Administration could provide tailwinds.

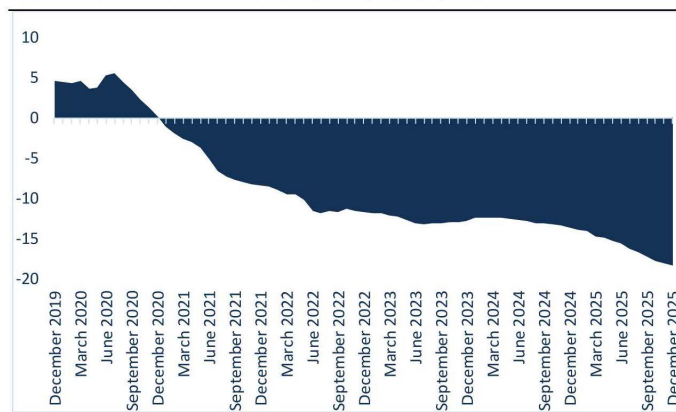
Headwinds

- Limited job growth and traditional business investment will limit leisure travel demand from most Americans and business travel demand. Uncertainty on tariffs following the Supreme Court ruling and the Administration's response, including plans to move forward with sweeping tariffs through alternative means, could further cloud these issues.
- While the World Cup should provide a tailwind for foreign visitation to the U.S., sentiment toward the U.S. is increasingly negative, driven by tariffs and rhetoric coming from Washington, D.C. In 2025, inbound international arrivals declined 4%, and without a shift in rhetoric, the declines could continue and limit the benefit of the World Cup.
- In February, a partial government shutdown went into effect, suspending payment of wages to TSA employees. We would expect this shutdown to have a more disruptive impact on travel demand than the one in late 2025, given it is the second time in just a few months that TSA employees will go without pay.

With this backdrop, we expect domestic leisure travel to remain sluggish in early 2026; however, these headwinds are skewed away from the high-end leisure traveler. Given a challenged job market and economic uncertainty, corporate transient demand will also remain soft in 2026. However, group trends are proving more resilient.

Additionally, international travel trends remain a headwind for U.S. hotels. In 2019, the U.S. was a net importer of about 4 million travelers. In 2025, the U.S. was a net exporter of about 18 million travelers. The 22 million traveler swing is weighing on hotel performance, especially in gateway markets. As foreign travelers tend to stay longer and spend more than domestic travelers, the recovery of this portion of the leisure segment is a critical component of recovery back to pre-pandemic occupancy levels.

Net International Visitation Levels on a TTM Basis



Source: Moody's Analytics

We expect this trend to reverse in 2026 as sentiment toward the U.S. stabilizes and hopefully improves and the U.S. hosts the World Cup across multiple cities.

Additionally, Moody's Analytics economic forecasts incorporate the following key national assumptions that drive our outlook:

- The Fed will cut the target Fed Funds Rate by 25 bps in March, June, and July 2026, before stabilizing at around 3%.
- U.S. GDP will increase 3.1% in the first quarter, 2.6% in 2026 and 1.5% in 2027.

With that backdrop, we forecast 2026 RevPAR to increase 0.6%, driven by a 3.0% ADR increase, and a (2.3)% occupancy decline. However, it is important to note that most markets not impacted by the World Cup will experience much softer performance.

LARC has also issued an upside scenario and a downside scenario of our U.S. forecast. The upside scenario is based

on Moody's Analytics forecast that assumes there is a 75% probability that the U.S. economy will underperform the upside scenario. The downside scenario assumes that there is a 75% probability that the U.S. economy will outperform the downside scenario.

Under the upside scenario, RevPAR would increase 7.0% in 2026, before RevPAR growth slows to 2.1% in 2027. Under the downside scenario, RevPAR would decrease (7.8)% in 2026, before beginning to recover in early 2027.

Lastly, with increasing economic uncertainty and elevated budget deficits, we expect U.S. hotel cap rates to rise 25 bps through 2030, on average. This increase is driven by widening spreads (or risk premia), offset by expectations for the Fed to cut rates.

LARC continues to anticipate U.S. lodging markets that materially outperform as well as those that underperform national averages. Over the medium-to-long term, we expect markets with outsized exposure to high-end leisure transient and group to outperform. However, in the immediate term, those with strong convention calendars and World Cup exposure are likely to yield the most top-line growth.

Furthermore, expense pressures will become a substantial factor in identifying markets that are winners and those that are losers, particularly with several major cities recently completing or soon to negotiate collective bargaining agreements. Recent finalized agreements in several U.S. cities have resulted in a roughly 10% annual increase in wages over the next five years and a reset back to pre-pandemic staffing levels. We expect non-union hotels to keep pace with wage growth at union properties across these markets, though many are already paying wages above union-mandated levels.

Layering in added political risks like the Safe Hotels Act in New York City and the increased minimum wage in cities such as Los Angeles and San Diego, all of which can be duplicated in other major markets, wage and expense growth is likely to be a bigger component of value change than top-line performance across many trade areas. Therefore, wage and expense growth and their strain on profitability materially shape our views on markets that are best and worst for investment today.

Transparency surrounding forecasting is critical to the lodging industry. LARC believes the best business decisions are based on the highest quality data and information available at the time of drawing such conclusion(s). LARC utilizes this approach with our forecasts, using the best and most relevant available information to provide the most likely outcomes at the time of issuance.

LARC's industry-leading market intelligence is available to help all industry participants navigate the current environment and position themselves for success. Please [contact us](#) to learn more about our services and products, or if there is any other way we may be able to serve you.

Sincerely,



Ryan Meliker
President & Co-founder
Lodging Analytics Research & Consulting

U.S. Lodging Industry and Market Outlook – March 2026

LARC's Industry Outlook

Currently, for 2026, Lodging Analytics Research & Consulting (LARC) expects U.S. RevPAR to increase by 0.6% to \$100.63, driven by ADR growth of 3.0% to \$165.36, while occupancy declines (2.3)% to 60.9%. LARC forecasts 2026 U.S. Hotel EBITDA to increase 0.5%, with slight margin erosion, and Hotel Values to increase 1%. Over the next five years, LARC expects Hotel Values to increase a total of 8%.

March 2026 U.S. Hotel Industry Forecast Summary

	2026 Growth	2025-2028 CAGR	2025-2030 CAGR
Supply	0.6%	0.6%	0.8%
Demand	-1.8%	-0.4%	0.3%
Occupancy	-2.3%	-1.1%	-0.5%
ADR	3.0%	2.2%	2.4%
RevPAR	0.6%	1.1%	1.9%
Hotel EBITDA	0.5%	-0.2%	0.7%
Hotel Values	1%	1.4%	1.5%

Source: Lodging Analytics Research & Consulting

The following table illustrates a summary of LARC's current U.S. Hotel Industry Outlook in contrast to last quarter's outlook.

2026 U.S. Hotel Industry Forecast: March 2026 Edition vs. December 2025 Edition

	3/2026 YoY Growth	12/2025 YoY Growth	Outlook Change
Supply	0.6%	1.1%	-0.5%
Demand	-1.8%	0.2%	-2.0%
Occupancy	-2.3%	-0.9%	-1.4%
ADR	3.0%	2.1%	0.9%
RevPAR	0.6%	1.2%	-0.6%
Hotel EBITDA	0.5%	0.2%	0.3%
Hotel Values	1%	2%	-0.6%

Source: Lodging Analytics Research & Consulting

Our 2026 operating outlook has shifted to stronger ADR growth at the expense of demand growth. As a result, the Hotel EBITDA forecast has improved slightly. However, our outlook for value appreciation has moderated slightly given softer fundamentals and higher costs of capital.

LARC's U.S. RevPAR model has an R-squared of 98.8% within a standard error of 2.9%, back-tested to 2000. LARC's U.S. Cap Rate model has an R-squared of 98.6% within a standard error of 26 bps, back-tested to 2005.

Market Outlooks

Listed below are the best and worst performing markets based on our forecasts. Similar to LARC's U.S. forecast, our market level forecasts are structured on multi-variable regression models with a high level of historical accuracy.

Additional details regarding our market outlooks can be found in LARC's Market Intelligence Reports. You can purchase an individual report for any of our covered markets or the U.S. overall [on our website here](#).

2026

Top Markets for RevPAR Growth:

Maui, Philadelphia, New York, Fort Worth & Dayton

Bottom Markets for RevPAR Growth:

St. Louis, Ann Arbor, St. Petersburg, Atlanta & Pittsburgh

5-Year Outlook (2025 - 2030)

Top Markets for RevPAR Growth:

Maui, Palm Beach, Orlando, Miami & Memphis

Bottom Markets for RevPAR Growth:

Washington, D.C., Dallas, Louisville, Pittsburgh & San Francisco

Top Markets for Value Change:

Orlando, New Orleans, Tampa, Miami & Nashville

Bottom Markets for Value Change:

Dallas, New York, Washington, D.C., Chicago & St. Louis



Better Lodging
Analytics for Better
Business Decisions